NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

ADVANCED FINANCIAL ACCOUNTING

CAC 4201

EXAMINATION

SEPTEMBER 2021

This examination paper consists of 6 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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Question 1 (25 marks)

Amber Ltd, Green Ltd and Red Ltd are members of a group of companies. The companies were formed on 1 January 2015,1 January 2019 and 1 January 2020 respectively. Amber Ltd bought 70% of Green Ltd 's shares on 1 July 2019, and 30% of the shares of Red Ltd on 1 October 2020. Green Ltd bought 60% of the shares of Red Ltd on 1 July 2020.

The following information is available

Statement of changes in equity 000 s

Ordinary shares $1 each	Balance 1 January 2020	Profit (loss) for the year	Balance on 31 December 2020	Company
	$	$	$	
10 000	5 500	2 500	8 000	Amber Ltd
5 000	(2 000) Dr	4 750	2 750	Green Ltd
5 000		(2 400) Dr	(2 400) Dr	Red Ltd
	3 500 CR	**4 850 CR**	**8 350 CR**	

Required

(a) Prepare the consolidated statement of changes in equity at 31 December 2021 **(20 marks)**

(b) Explain how Amber Ltd may be exempt from consolidating financial statements under the Zimbabwe companies act. **(5 marks)**

Question 2 (25 marks),

Explain exemptions of the following:

(a) Disclosure of operating segments (IFRS 8). **(7 marks)**
(b) Disclosure of consolidated earnings per share (IAS 33). **(6 marks)**
(c) Disclosure of related parties (IAS 24). **(8 marks)**
(d) Equity accounting (IAS 28). **(4 marks)**

Question 3 (25 marks)

On the 1st of April 2017 Topaz Ltd acquired 3.2 million of Gold Ltd.'s $0.50 ordinary shares by way of exchange of a block of luxury flats in a holiday resort. The block of flats had a carrying amount of $25 million and a fair value of $29 million. Topaz Ltd acquired 6.25 million of Platinum Ltd.'s $1 ordinary shares one year after its incorporation for $12 million. On 1 January 2020 Topaz Ltd increased its holding in Platinum by 20% by way of cash $20 million and $2 million payable in 6 months when its 3 million 10% short term deposit matures.

The summarised statements of financial position of the three companies at 31 December 2020 are show below

ASSETS	Topaz Ltd	Gold Ltd	Platinum Ltd
	$000	$000	$000
Non-Current Assets			
Property, Plant and Equipment	610 000	20 500	32 000
Investments in Gold	29 000		
Investments in Platinum	12 000		
	651 000	**20 500**	**32 000**
Current Assets			
Inventories	188 000	9 000	16 000
Trade and other receivables	130 000	21 000	11 500
Cash and Cash Equivalents	6000	1500	500
	324 000	**31 500**	**27 500**
Total Assets	**975 000**	**52 000**	**59 500**
EQUITY AND LIABILITIES			
Issue ordinary shares of $1.00	356 000		25 000
Issue ordinary shares of $0.50		20 000	
Foreign Currency Reserve			300
Retained Earnings	125 830	4 500	9 600
Total Equity	**481 830**	**24 500**	**34 900**
Non-Current Liabilities			
Bank Loan	292 000		
Current Liabilities			
Trade and other payables	178 000	25 500	15 800

Bank Overdraft			7 600
Tax payable	23 170	2 000	1 200
	201 170	**27 500**	**24 600**
Total Equity and Liabilities	**975 000**	**52 000**	**59 500**

Additional Information

1. At the date of acquisition, the retained earnings of Gold Ltd were $1 750 000.There were no other reserves. The fair value of assets liabilities and contingent liabilities of Gold Ltd were the same as their carrying amounts with the exception of the legal claim which had been disclosed in Gold Ltd.'s financial statements at the date of acquisition as a contingent liability. At the date of acquisition, the legal advisors assessed the fair value of the claim as being $500 000. Provision
2. At the date of acquisition of the original investment of Platinum Ltd it had retained earnings of $4 000 000 and $300 000 foreign currency reserves. There were no other reserves. The fair value of assets liabilities and contingent liabilities of Platinum Ltd were the same as their carrying amounts. On purchase of the additional 20% there was an internal brand of $10 000 recognized. The brand has an indefinite life, and the fair value of the brand has not been changed since that date.
3. Following acquisition Gold Ltd sold goods to Topaz Ltd at a mark-up of 20%. The goods cost Gold Ltd $600 000 and one third remained in inventory at reporting date. S – P
4. At the reporting date Topaz Ltd had intercompany receivables balance due from Gold Ltd and Platinum Ltd of $5 000 000 and $8 000 000 respectively. These amounts were shown in trade receivables and trade payables respectively. Eliminate. DR P CR R
5. Topaz Ltd has undertaken annual impairment reviews of goodwill. On 31 December 2020 an impairment loss of $5 million in respect of Platinum was recognized. An impairment loss of $1 500 000 was recognized in respect of Gold Ltd for the previous year-31 December 2019. There is no impairment in 2020
6. Corporate and Capital gains tax are at 25% ✓
7. Non controllable interest is measured based on its share of fair value of net assets

Required

(a) Calculate the goodwill/gain on bargain purchase at date of acquisition and at 31 December 2020 (Notes are required). **(7 marks)**

(b) Calculate the consolidated retained earnings at 31 December 2020. **(7 marks)**

(c) Calculate the amount to be shown as Non-Controllable Interest at 31 December 2020. **(7 marks)**

(d) Calculate the deferred tax asset/liability. **(4 marks)**

Cost of Investment 29 000 1750 000 500 000

Question 4 (25 marks)

The following are the financial statements of Beryl Ltd, Emerald Ltd and Diamond Ltd:

Figures in $000

	Beryl Ltd	Emerald Ltd	Diamond Ltd
	$	$	$
Revenue	150 000	94 000	118 000
Cost of sales	(56 000)	(33 000)	(42 000)
Gross profit	94 000	61 000	76 000
Admin expenses	(30 000)	(15 000)	(22 000)
Distribution costs	--	(5 000)	------
Profit from operations	64 000	41 000	54 000
Investment Income -dividends	6 300		–
Finance cost			(4 200)
Interest income	4 200		
Profit before tax	74 500	41 000	49 800
Tax expense	(23 870)	(14 350)	(17 430)
Profit for the year	50 630	26 650	32 370

Statement of Financial Position

	Beryl Ltd	Emerald Ltd	Diamond Ltd
	30 June 2017	31 May 2017	30 April 2017
Assets			
Non-current assets			
PPE	103 000	61 000	109 000
Investment in Emerald Ltd	21 000		
Investment in Diamond Ltd	24 000		
Loan to Diamond Ltd	20 000		
	168 000	61 000	109 000
Current assets	26 650	46 500	46 500
	194 650	**107 500**	**157 600**

Equity and Liabilities

Issued shares of $1	60 000	10 000	10 000
9% Non-cumulative preference shares			10 000
Retained profits	134 650	97 500	117 600
	194 650	107 500	137 600
Non-current liabilities			
Loan from Beryl Ltd			20 000
	194 650	**107 500**	**157 600**

Statement of Changes in Equity

Balance at beginning of the year	94 020	76 850	92 030
Profit for the year	50 630	26 650	32 370
Dividends paid-preference			(1 800)
-ordinary	(10 000)	(6 000)	(5 000)
Balance at the end of the year	**134 650**	**97 500**	**117 600**

Additional information

1.Beryl Ltd obtained 40% interest in Emerald Ltd on 1 January 2013 when the retained earnings of Emerald Ltd were $39 000 000.

2.On 1 July 2014 Beryl Ltd obtained 30 % equity in Diamond Ltd in a Joint venture with Amethyst Ltd when the retained earnings of Diamond Ltd were $31 000 000.

3.During the year ended 30 June 2017 Beryl Ltd sold inventory to Diamond Ltd at cost plus 20%. Total inventory of $12 000 000 was purchased from Beryl Ltd during the year.

4.Assume a tax rate of 25%.

Required

(a) Prepare a statement of profit or loss and other comprehensive income and the statement of financial position for the period ending 30 June 2017. **(18 marks)**

(b) Disclose all notes relating to the investments. **(7 marks)**

THIS IS END OF THE EXAMINATION PAPER